

farmer in Jharkhand last September. Then, three NBFCs in Maharashtra and Uttar Pradesh had their licences revoked for resorting to undue harassment of borrowers. RBI has woken up again, with Governor Shaktikanta Das warning publicly of action through law enforcement agencies.

Why this sudden return of the dreaded agent? Over the past two years, the Covid-19 moratorium on personal loan repayment (not waiver), job losses and salary cuts have led to higher loan defaults, and an escalation of recovery cases. After the economy reopened, soaring inflation and rising interest rates are now giving a reality check to young borrowers lured by digital apps. With defaults rising, banks are spending big to recover their money. Rishabh Goel, Co-founder & CEO of Credgenics, a new-age debt resolution platform, says: “The cumulative spend on collection by banks and NBFCs is a whopping ₹42,000 crore annually.”

When the recovery agent knocks on your door, he is the villain, and rightly so (despite you being the defaulter, nothing justifies strong-arm tactics). But there are other entities, too—RBI, Indian Banks Association (IBA), Indian Institute of Banking & Finance (IIBF), banks, NBFCs, digital lenders, new-age tech players, lawyers and loan settlement companies—which are responsible for protecting the interests of borrowers, but are failing them. A *Business Today* investigation deep inside the recovery chain unearths crucial weak links.

BOOMING CONSUMER LOANS

Let's first understand the context better. The proliferation of digital lending apps, buy now-pay later schemes, peer-to-peer lending, and bank pre-approvals has led to exponential growth in quick-to-get consumer loans across the country, including for new-to-credit customers. Fed on this seemingly limitless buffet, consumers are now increasingly taking loans for foreign holidays, dining out, buying luxury items, and what have you. A recent ASSOCHAM-CRISIL report talks about shifting stressed assets opportunity from corporate to retail and MSMEs. The new segments are per-

sonal loans, consumer durables, used cars, affordable housing and microloans. Until a few years ago, this was restricted to home loans and loans against property. Now, with layoffs happening across sectors, and higher interest rates marking up even older loans, defaults are rising. Industry sources estimate the size of retail NPAs at ₹5.5 lakh crore.

Muzammil Patel, Co-founder of tech consulting firm Acies, says the size of NPAs will rise as the base of retail assets grows, even if the number of delinquencies does not. “The problem with personal loans is that banks haven't necessarily been able to differentiate pricing despite having information about good and average customers,” he argues. Today, the whole loan process has gone digital, from lead generation to disbursement, yet the collection and recovery ‘industry’ remains archaic. “The lenders are now dealing with a much savvier customer,” says Manavjeet Singh, MD & CEO at CLXNS Technologies, a digital-first debt resolution company.

MEET THE MOM-AND-POP RECOVERY AGENCIES

On a street bustling with people in Mumbai's Ghatkopar suburb, shops line both sides of a narrow road. The area looks residential, with grocery stores, vegetable vendors, medical stores, etc. Behind a multi-storeyed building, there is an alley of kitchens and godowns where a modest, 250-sq. ft office of a recovery agent is located. The reception area sports a dusty whiteboard that hasn't been updated for months. A range of information like loan portfolios, team sizes, and targets is scribbled on it in faded black ink. Three staff members are seen. “Our agents are on the field for recovery,” explains the owner, in his late 30s, who doesn't want to be identified.

Thousands of such mom-and-pop recovery offices, mostly sole proprietorships, operate from dingy places. “They live hand to mouth,” says Nikhil K. Shetty, Director of Client Relations at Kenstone Capital Debt Consultancy. It's an easy business to start and also shut down on the fly. *BT's* investigation reveals that many agents are not housed at the addresses they have given to banks. Retired SBI officer Talla Lakshminarayana, who ran Veerabhadra Associates from Secunderabad and has exited the business, blames weak documentation of personal loan agreements for this. G. Venkateswarlu of GVR Corporate Services, a Hyderabad-based recovery agency, says there is fierce competition in the market. “The banks are selective in giving business. Those who quote less or have recovered more in the previous assignment get the business,” he says.

The industry has a high mortality rate, with most operating regionally or in a city; few national recovery agencies exist. Ketan Purohit, owner of Vadodara-based Pioneer Services, says the success rate is 15-16 per cent in recovering bad loans, but the high incentives cover the cost of tracing and chasing remaining borrowers. “There is an accelerated incentive structure, which serves as a carrot to recover a higher percentage,”